



ARM CEMENT LTD
(formerly Athi River Mining Ltd)

KENYA, TANZANIA, SOUTH AFRICA, RWANDA

P. O. Box 41908 - 00100 Nairobi Kenya
Rhino House, Chiromo Road, Westlands

October 23, 2015

The Chief Executive,
Capital Markets Authority,
P.O.Box 78400-00200
NAIROBI

Dear Sir,

RE: UNAUDITED RESULTS FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2015

We are pleased to enclose herewith unaudited results for the nine months ended 30th September, 2015.

Yours Sincerely,

PRADEEP H. PAUNRANA
MANAGING DIRECTOR

✓ Cc The Chief Executive ,
Nairobi Securities Exchange Ltd,
P.O Box 43633-00100,
NAIROBI



Subsidiary Companies

- ARM (Tanzania) Ltd
- Rhino Cement Tanzania Ltd
- ARMSA (Pty) Ltd, RSA

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Rick Ashley (Chairman), Pradeep H Paunrana (Managing Director), S L Bhatia (Deputy Managing Director), Atul Mathur,
Wilfred Murungi, Daniel Ndonge, Michael Turner, Leonard Mususa, Andrew Allil



KENYA TANZANIA SOUTH AFRICA RWANDA



Manufacturers of
cement lime industrial
minerals sodium silicate
formulated fertilizers
Publicly listed on the
Nairobi Securities
Exchange

UNAUDITED GROUP RESULTS FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2015

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED	30.09.2015 Ksh.'000	30.09.2014 Ksh.'000
Revenue	11,709,247	10,941,199
Operating Profit	2,479,104	2,079,494
Finance Cost	1,107,032	330,339
Profit Before Tax and Unrealised Exchange Losses	1,372,072	1,749,155
Unrealised Exchange Losses	2,017,013	129,979
Profit/(Loss) Before Tax	(644,941)	1,619,176
Taxation	(175,872)	509,049
Profit/(Loss) After Tax	(469,069)	1,110,127
Total comprehensive income for the year	(469,069)	1,110,127
Earnings Per Share(Annualised) (Ksh.)	(1.3)	3.0

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT	30.09.2015 Ksh.'000	30.09.2014 Ksh.'000
Assets		
Non Current Assets	28,994,545	27,372,901
Current Assets	10,149,313	6,415,940
Total Assets	39,143,858	33,788,841
Equity & Liabilities		
Share Capital	495,275	495,275
Share Premium	302,027	302,027
Capital and Other Reserves	9,946,381	8,122,353
Provision for Unrealised Exchange Losses	(2,017,013)	-
Equity attributable to equity holders of parent Company	8,726,670	8,919,655
Non - Controlling interest	-	106,749
Total Non Current Liabilities	8,726,670	9,026,404
Current Liabilities	15,956,986	14,047,924
Total Equity & liabilities	39,143,858	33,788,841

CONDENSED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED	30.09.2015 Ksh.'000	30.09.2014 Ksh.'000
Cash Generated before working capital changes	3,088,518	2,551,105
Working capital changes	(1,349,997)	(495,188)
Cash Generated from operations	1,738,521	2,055,917
Net Interest	(1,107,032)	(330,339)
Tax Paid	(661,849)	(626,513)
Net Cash from Operating Activities	(30,360)	1,099,065
Net Cash used in Investing Activities	(897,156)	(4,987,820)
Net Cash from Financing Activities	972,583	3,218,242
Increase/(Decrease) in Cash and Cash Equivalents	45,067	(670,513)
At start of the Period	406,756	1,506,725
Exchange Adjustment	-	(127,025)
At end of the Period	451,823	709,187

COMMENTARY ON UNAUDITED RESULTS AS AT 30TH SEPTEMBER 2015

The Board of Directors hereby announce the unaudited results for the Group for the nine month period ended 30th September 2015.

The nine month group revenue increased to KES 11.7 billion, an increase of 7% over the same period in 2014. The increase in revenue was driven by increased cement sales Tanzania and Mavuno fertilizers in Kenya. Cement sales have been increasing each month in both Kenya and Tanzania with a marked increase in the last two quarters, when the Tanga clinker plant became operational. The company is also selling clinker to a number of other cement grinding units in Tanzania and exporting clinker to Rwanda, Burundi, Kenya and DRC.

The EBITDA (earnings before interest, tax, depreciation and amortization) has grown to KES 3.1 billion, an increase of 30% over the same period in 2014. The EBITDA margin increased from 22% to 26% for the first nine months. The improvement in operating profit is attributable to reduced cost of clinker now manufactured at the Tanga plant compared to cost of clinker which was previously imported.

During the first nine months of 2015, operating profit increased to KES 2.5 billion, an increase of 28% over the same period last year. Profit before tax and unrealized exchange loss stood at KES 1.4 million after finance cost of KES 1.1 billion. The sharp depreciation of both the Kenyan and Tanzanian currencies in the nine months has resulted in an unrealized exchange loss of KES 2.0 billion on the Company's US dollar denominated borrowings, which include the convertible loan notes issued to AFC. Whilst this exchange loss is a provision in our income statement as per IFRS (International Financial Reporting Standards) it could be reversed if the currencies strengthen again, or against future US dollar earnings, and / or partly reversed when AFC converts the loan notes into equity. The impact of the currency depreciation and the consequent unrealized forex loss provision is a net loss of KES 469 million.

OUTLOOK

Demand for cement continues to grow at more than 10% for the first nine months of 2015, driven by infrastructure and housing construction. The fundamentals for continued economic and construction sector growth remain strong despite the recent currency depreciation and increase in interest rates. The company expects to continue improving performance for the remainder of the year through cost efficiencies arising from increased production of clinker from the Tanga plant, and increased sales from all business divisions, including Mavuno fertilizers.

DIVIDEND

In accordance with past practice, the Board of Directors does not recommend an interim dividend for the year

By Order of the Board
R. R. Vora
Company Secretary
October 23rd, 2015

